

DEBT & EQUITY

Chetrit's \$80M Queens Refi: A Liquidity Trade, Not a Vote of Confidence

The deal shows that capital is available for assets with cash flow, even when the sponsor carries heavy baggage.

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A source-grounded Light Tower Insight.

A credit committee reviewing the Chetrit Group's \$80 million refinancing on a Queens warehouse would have to answer one question first: Is this a loan on an asset, or a loan on a sponsor?

The answer, based on the deal structure, is clear. The lender is underwriting the building, not the family.

Maxim Capital Group and SL Green provided the three-year loan on the 588,000-square-foot industrial property at 57-18 Flushing Avenue in Maspeth. Iron Hound arranged the transaction. The property contains five buildings and was last mortgaged in 2021 with UBS Bank. The Chetrirts also had a \$50 million loan on the same property from Maxim in 2020.

The refinancing is good news for the Chetrit Group, which has been working to settle scores with lenders over defaults and legal judgments. But the deal is less a vote of confidence in the sponsor than a vote of confidence in the asset's cash flow and the lender's ability to isolate it.

Consider the sponsor's other exposures. Meyer Chetrit has been ordered to pay a \$132 million judgment to Maverick Real Estate Partners. Late last year, a city marshal garnished Meyer's interests in several LLCs to pay off that judgment, selling them at auction to Maverick. One of those LLCs, 5718 Maspeth Associates, had indirect ties to the warehouse property. Maverick will now receive any payouts from the property that would have originally gone to Meyer Chetrit.

At 26 Broadway, a 29-story Class A office tower, the Chetrit Group's loan was transferred to special servicing last month. At 500 and 512 Seventh Avenue, a lender accused the borrower of intentional self-dealing, transferring about \$1 million of tenant security deposits to outside accounts, with about \$300,000 transferred to accounts associated with other Chetrit projects or affiliates. That case is ongoing. Meyer and Joseph Chetrit also face tenant harassment charges from the office of Manhattan District Attorney Alvin Bragg.

Against that backdrop, the \$80 million refinancing is not a sign that the capital markets have forgiven the Chetrit Group. It is a sign that the warehouse at 57-18 Flushing Avenue generates enough income to support a loan that can be structured to ring-fence the cash flow from the sponsor's broader liabilities.

The lender's calculus is straightforward. The property is industrial, not office. It is in Maspeth, Queens, a submarket with strong demand from logistics and e-commerce tenants. The 588,000 square feet across five buildings provides diversification within the asset. The prior Maxim loan from 2020 gives the lender familiarity with the cash flow. The three-year term limits duration risk. And the structure likely includes springing lockbox provisions, cash management controls, and other mechanisms that ensure the lender gets paid before any residual cash reaches the sponsor.

This is the kind of deal that appears when lenders want to deploy capital but need to protect themselves from sponsor risk. The asset is the collateral. The cash flow is the source of repayment. The sponsor is a necessary legal entity but not the credit story.

The deal also reveals something about the current lending environment. Capital is available for industrial assets with proven cash flow, even when the sponsor carries heavy baggage. The market is not rewarding the Chetrit Group's track record. It is rewarding the property's location, tenancy, and income stream.

For other owners with maturing loans, the lesson is clear. The asset's cash flow and basis matter more than the sponsor's reputation. A lender will finance a good building with a troubled sponsor if the structure can isolate the cash flow. But a lender will not finance a troubled building with a good sponsor if the cash flow is insufficient.

The three-year term is also revealing. It is short enough that the lender can re-evaluate the sponsor's situation at maturity. It is long enough that the sponsor can use the liquidity to address other liabilities. The Chetrit Group is not buying time to wait for a market recovery. It is buying time to manage its legal and financial exposure.

The deal is a liquidity trade, not a vote of confidence. The lender is providing capital in exchange for control over the cash flow. The sponsor is accepting that control in exchange for time. That is the market signal underneath the headline.

What should market participants test next? Owners with industrial assets in strong submarkets should test whether their own sponsor baggage is as disqualifying as they fear. Lenders should test whether their underwriting can separate asset cash flow from sponsor risk as effectively as this deal suggests. And investors watching the Chetrit Group should watch whether the cash flow from this property is sufficient to service the debt and still provide any residual to the sponsor's creditors.

The refinancing is not proof that the Chetrit Group has turned a corner. It is proof that a good building in a good location can still command capital, even when the sponsor is under pressure. That distinction matters.